ANNUAL DEBT CAPITAL REPORT TO THE REGENTS

Fiscal Year 2007-08

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Preface

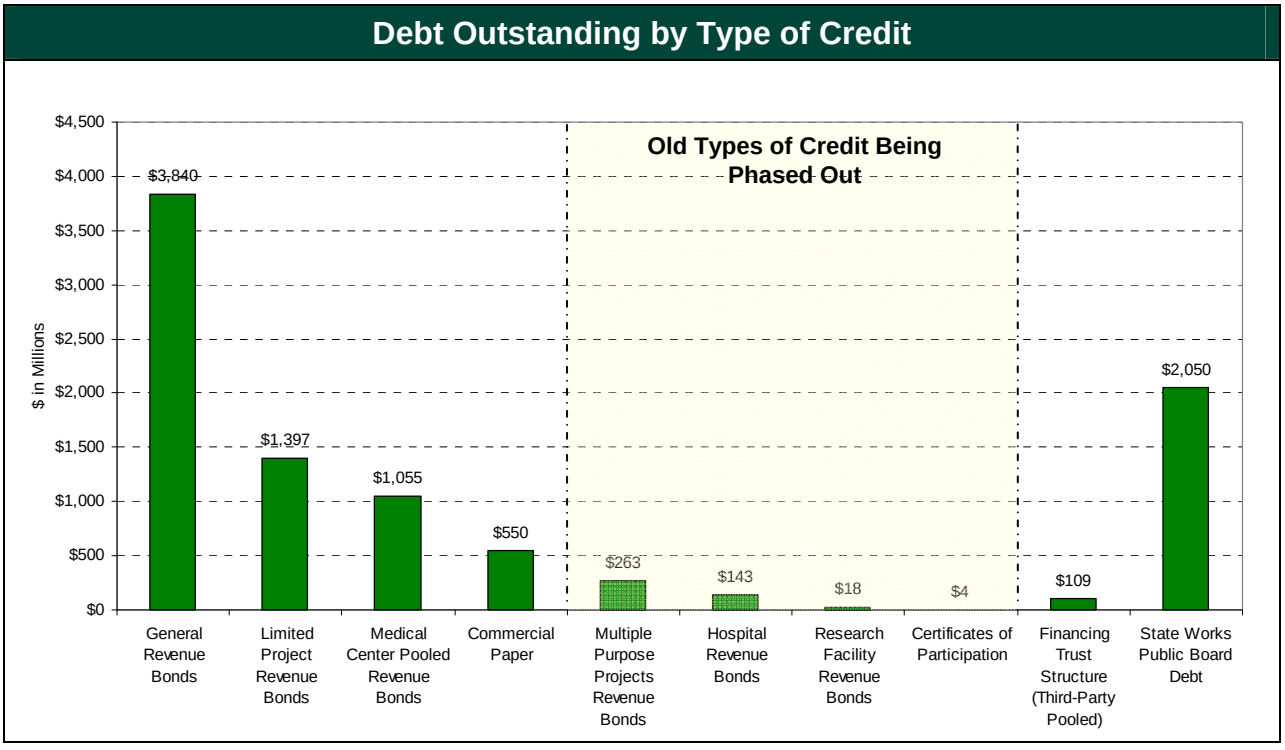
This second *Annual Debt Capital Update to The Regents* is intended to provide The Regents with an overview of the University's debt capital program for fiscal year ending June 30, 2008. This document serves as a background piece that addresses questions related to the University's overall debt capital structure, the University's financial strength as viewed by the capital markets, and the outlook for future financing flexibility. As such, this Update incorporates the following information:

- Overview of the University's outstanding indebtedness;
- Summary of debt issuance over the past fiscal year;
- Review of projected debt issuance for the following fiscal year;
- Update of the University's debt capacity;
- Identification of pertinent financial ratios, including *Total Resources to Debt, Expendable Resources to Debt* and *Debt Service to Operations*; and
- Analysis of the likely impact of the University's projected debt issuances on the University's overall financial strength and future financing flexibility.

This report is not intended to be all-encompassing. Rather, it provides a snapshot of the University's current position and the likely impact authorized but unissued debt will have on that position. A number of factors, some of which are beyond the control of the University and its management team (such as general economic trends and the fiscal health of the State, for instance), can impact the University's perceived and actual credit strength and therefore the institution's debt capacity and its ability to service current and/or incremental debt.

Review of Outstanding Debt

As of June 30, 2008, the University had approximately $7.3 billion in debt outstanding, with a weighted average cost of capital of 4.48% and an average life of 15.9 years. This debt consists of General Revenue Bonds, Limited Project Revenue Bonds, Medical Center Pooled Revenue Bonds, Financing Trust Structure Bonds, Hospital Revenue Bonds, Multiple Purpose Projects Revenue Bonds, Research Facility Revenue Bonds, Certificates of Participation and Commercial Paper. These different borrowing vehicles, or types of credit, are secured by varying revenue streams. This credit differentiation allows the University to maximize debt capacity while managing its cost of borrowing, degree of control and financial flexibility. In addition, the California State Public Works Board has issued approximately $2.1 billion on behalf of the University. The State Public Works Board obligations constitute indirect debt of the University which is secured by the State's annual appropriation of debt service and a University commitment to make up any shortfalls. The chart below provides a breakdown of the University's outstanding debt by credit:



General Revenue Bonds. The General Revenue Bond (GRB) credit serves as the University's primary borrowing vehicle and is utilized to finance projects that are integral to the University's core mission of education and research. The GRB credit is secured by the University's broadest revenue pledge. The University has approximately $3.8 billion of outstanding GRB debt. The GRB credit was introduced in 2003 to replace the Multiple Purpose Projects (MPP) bond program and consolidated series from several purpose-specific credits, including MPP Revenue Bonds, Research Facilities Revenue Bonds, Housing System Revenue Bonds and UCLA Central Chiller/Cogeneration Facility COPs. This credit consolidation served to increase the University's overall debt

capacity by pledging a broad revenue base (totaling $6.11 billion in Fiscal Year 2007) and facilitating the capital markets' understanding of the University's credit.

Limited Project Revenue Bonds. The Limited Project Revenue Bond (LPRB) credit, established in 2004, is used to finance primarily auxiliary services such as student housing or parking. The University has approximately $1.4 billion of outstanding LPRB debt. The LPRB credit provides the University's bondholders with a subordinated pledge of gross revenues derived only from facilities financed under the structure. This credit was created to conserve debt capacity in the GRB credit for mission-based projects.

Medical Center Pooled Revenue Bonds. The Medical Center Pooled Revenue bond credit is the University's newest credit structure and serves as the primary financing vehicle for hospital debt; its initial issuance occurred in January 2007. The Bonds are secured by gross revenues of the five medical centers. The University has approximately $1.1 billion of outstanding pooled medical center debt. Previously, the medical centers issued debt on a stand-alone basis, secured by their individual revenue streams (see "Hospital Revenue Bonds" below). The pooled credit lowers borrowing costs, facilitates access to the financial markets, and increases debt capacity for the medical centers. Going forward, it will replace the individual hospital credits. The medical center pooled revenue bonds are subordinate in payment priority to the prior pledges given to $92 million of University of California-Los Angeles Medical Center Bonds, and $51 million of University of California-San Diego Medical Center Bonds. It is currently management's intent to refinance these senior lien bonds under the new credit when economically feasible, which will reduce the amount outstanding under each senior lien.

Financing Trust Structure. The University has $109 million of outstanding third-party debt (i.e. debt issued by a party other than the University but for a project in which the University has an economic interest) under its Financing Trust Structure (FTS) credit. The FTS credit was created to reduce the financing cost of non-core projects, but with a lesser impact on the University's debt capacity (debt issued under the FTS credit is not counted against the University's debt capacity on a 1:1 basis). The bonds are secured solely by gross revenues of the projects financed.

Commercial Paper. The University has $550 million outstanding in taxable and tax-exempt commercial paper, which is used to provide interim funding for approved projects that are eventually to be funded using permanent financing. The University is currently evaluating an expansion of its commercial paper program and intends to bring an action item to The Regents later this summer.

State Public Works Board Debt. Lease obligations issued by the State Public Works Board (SPWB) on behalf of the University total approximately $2.1 billion. Classified as capital lease obligations on the University's balance sheet, these obligations are secured by an annual appropriation of the State of California to the University. Any shortfall in the State's appropriation of the annual debt service amount on these

obligations requires the University to pay debt service from lawfully available funds; historically, the State has always appropriated the full amount.

The following credits are being phased out; no new debt is expected to be issued under these credits.

Multiple Purpose Projects Revenue Bonds. The University has approximately $263 million of outstanding Multiple Purpose Projects Revenue Bonds remaining. These bonds are secured by net revenues from the projects they financed. This structure has been replaced by the University's GRB credit (to which it is subordinate) and existing debt is expected to be gradually refinanced under the GRB credit as economically attractive, and no later than 2011. No new debt is expected to be issued under this credit.

Hospital Revenue Bonds. The University has approximately $143 million of outstanding Hospital Revenue Bonds remaining (also see "Medical Center Pooled Revenue Bonds" above). These bonds are secured by individual medical center revenues. This structure has been replaced by the University's Medical Center Pooled Revenue credit and existing debt is expected to be gradually refinanced under the pooled revenue credit. No new debt is expected to be issued under these credits.

Research Facility Revenue Bonds. The University has approximately $18 million of outstanding Research Facility Bonds remaining. The bonds are secured by revenues consisting of project rents or other occupancy charges derived by the University from the projects, income of the indirect cost recovery fund, and indirect cost recovery from federal contracts and grants. This structure has been replaced by the University's GRB credit and existing debt is expected to be gradually refinanced under the GRB credit. No new debt is expected to be issued under this credit.

Certificates of Participation. The University has approximately $4 million of outstanding Certificates of Participation (COPs). These COPs are secured by lawfully available funds. COPs issued for certain cogeneration energy related projects have Section 28 approval from the State Legislature that allows the University to repay the debt service on these projects from State operating funds for purchased utilities. This structure has been replaced by the University's GRB credit and existing debt is expected to be gradually refinanced under the GRB credit. No new debt is expected to be issued under this credit.

Summary of Fiscal Year 2008 Debt Issuance

Review of Fiscal Year 2008 Market Conditions. The past fiscal year, and the last six months in particular, were very volatile in the financial markets. The outlook for the U.S. economy weakened, with rising unemployment and continuing declines in home prices. To ease the tightening credit markets, the Federal Reserve cut the Fed Funds rate seven times over the past year, leading to a dramatic steepening of the yield curve. Most of the large municipal bond insurers saw their credit ratings lowered as a result of exposure to the sub-prime markets, which in turn negatively impacted investor confidence, leading to a flight to quality and a widening of credit spreads in the market. In addition, loss of confidence in the bond insurers led to the collapse of the auction rate market, with investors looking to invest in alternative instruments. Fortunately, the University's strong underlying credit ratings left it well-positioned to finance its capital needs at attractive interest costs despite the volatile markets.

The University issued approximately $1.2 billion of debt in Fiscal Year 2008, consisting of $664 million in new money issuances and $520 million in refinancings of existing debt.

New Money. In October 2007, the University issued $415 million of Limited Project Revenue Bonds to finance ten student and faculty housing facilities across six campuses. In January 2008, the University issued $249 million of General Revenue Bonds to finance approximately 33 capital projects across nine campuses.

Refinancings. In July 2007, the University issued $197 million Medical Center Pooled Revenue Bonds, 2007 Series C, to restructure the UCLA Medical Center Series 2002A Bonds as well as portions of UCLA Medical Center Series 2004A and 2004B, bringing them into the pooled Medical Center credit.

In April 2008, the University issued $323 million Medical Center Pooled Revenue Bonds, 2008 Series D, to refinance the UC Davis Medical Center Series 2003 Bonds. This allowed the University to exit the auction rate market and brought all of UC Davis Medical Center's debt within the pooled Medical Center credit.

Summary of Fiscal Year 2008 Debt Issuance			
Dated Date	**Series Name**	**Par Amount ($ in 000's)**	**Use of Proceeds**
July 26, 2007	Medical Center Pooled Revenue Bonds, 2007 Series C	$197,030	Refunding
Oct. 30, 2007	Limited Project Revenue Bonds, 2007 Series D	415,355	New Money
Jan. 31, 2008	General Revenue Bonds, 2008 Series L, M and N	248,860	New Money
April 23, 2008	Medical Center Pooled Revenue Bonds, 2008 Series D	322,980	Refunding
	Total	$1,184,225	

Projected New Money Debt Issuance

Subject to market conditions, the University anticipates issuing approximately $950 million in Fiscal Year 2009 for projects that have already been approved by The Regents. This amount consists of $800 million of General Revenue Bonds for educational and research purposes and $150 million of Limited Project Revenue Bonds, primarily for housing purposes.

Projected New Money Debt Issuance ($ in Millions)	
	Through Fiscal Year 2009
General Revenue Bonds	$800
Limited Project Revenue Bonds	150
Total New Money Issuances	$950

In addition, The Regents have approved other projects totaling approximately $1.45 billion, which are anticipated to be financed in Fiscal Years 2010 and 2011.

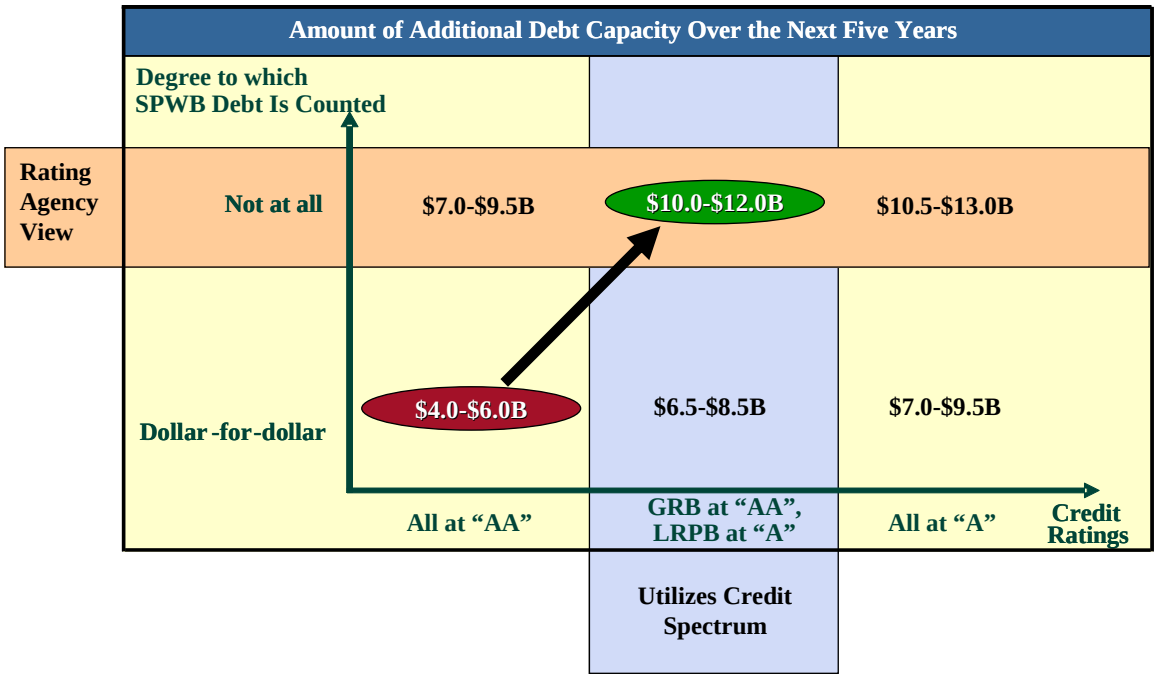
Debt Capacity

Overview. Debt capacity is a measure of the amount of debt an institution can incur at a particular credit rating level; it serves as a measure of the capital markets' assessment of an institution's financial strength. The credit ratings of the University's bonds are relevant in that they directly impact the cost of funding: the higher the credit rating, the lower the cost of borrowing (i.e., the yield the University has to pay investors of its bonds) and vice versa. The University holds strong underlying credit ratings, as assigned by Moody's Investors Service and Standard & Poor's. In fact, in October 2007, Moody's upgraded most of the University's various credits. Among the credits under which the University actively issues, the GRB, LPRB and Medical Center credit ratings were raised to "Aa1," "Aa2" and "Aa2," respectively, all with a positive outlook. The University's debt management program is designed to maintain this credit strength in order to minimize the cost of funding for core projects supporting the education and research mission, and to maximize future financial flexibility.

Key Observations and Conclusions. The University has considerable incremental debt capacity from a capital markets perspective. An analysis prepared by Lehman Brothers shows that from a capital markets perspective, the University can issue an additional $10-12 billion of debt over the next five years without affecting the strength of the credit rating on its core General Revenue Bond credit. The University's increase in debt capacity is largely driven by strong growth in financial resources and is reflected in the University's financial indicators, which are discussed later in this section. This estimate is based on current conditions, under which the State Public Works Board debt does not count against the University's debt capacity. To the extent market or other factors change, the projected debt capacity will change accordingly. The University's projected new money debt issuance of approximately $950 million through Fiscal Year 2009 fits well within the institution's debt capacity, and will not negatively impact its credit ratings or future financing flexibility.

Debt Affordability and Prioritization. While from an external capital markets perspective the University is viewed as a single entity that finances on a consolidated, systemwide basis, internally each project's financial feasibility is assessed on an individual basis. Each campus demonstrates affordability and is expected to maintain certain net debt service coverage from available revenues. That is, internal financial discipline dictates that the University identify a repayment source for each financing, demonstrating cashflow for debt service. The campuses prioritize projects in line with their respective long-term capital plans.

The following chart provides an illustration of the University's debt capacity. As shown, the University can comfortably expand its debt capacity without sacrificing the "AA" rating on its core credit.



Credit Ratings. Generally, the credit ratings of major public research universities are a function of several factors. These factors include the following: student quality and demand issues; State support; issues related to outstanding debt such as the amount of debt outstanding, the amortization of the debt and the security features of the debt; operating performance, including nature and diversity of revenue base; the asset base including endowment and the liquidity of the asset base; and non-financial issues such as the quality of leadership and management.

It is important to note that the rating agencies do not consider ratings or debt capacity to be based solely upon income statement or balance sheet ratios. As Moody's mentioned in a recent article, debt capacity is not determined by formulas and ratios alone, but has much to do with the strategic reasons for issuing debt.

The following table illustrates the current underlying ratings of the University's various credits. Please see Appendix B for an overview of credit rating definitions.

Underlying Ratings of the University's Various Credits		
	Moody's	Standard & Poor's
General Revenue Bonds	"Aa1"	"AA"
Limited Project Revenue Bonds	"Aa2"	"AA-"
Medical Center Pooled Revenue Bonds	"Aa2"	"AA-"
Financing Trust Structure Bonds	"Baa2"	NR
MPP Revenue Bonds	"Aa2"	"AA"
Hospital Revenue Bonds*	"Aa3"	"A+"
Research Facility Revenue Bonds	"Aa1"	"AA-"
Certificates of Participation	"Aa1"	"AA-"
State Public Works Board Debt	"Aa2"	"AA-"

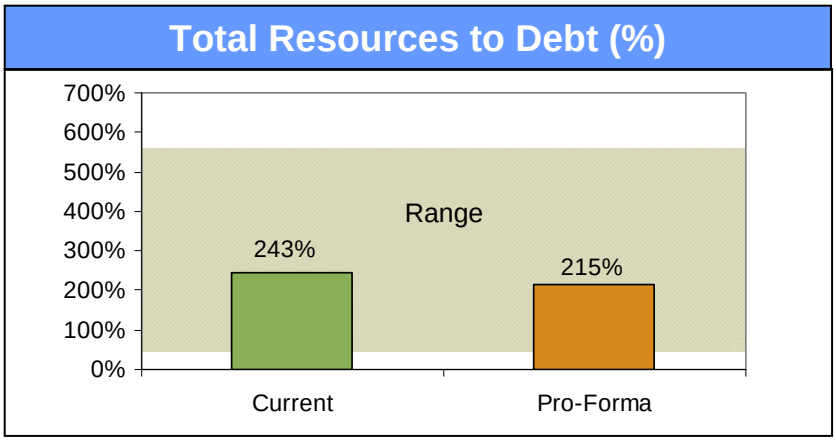
Ratings as of May 2008. NR = Not Rated. Shading indicates old types of credit being phased out.
Moody's has positive outlooks on all of the University's credits except for the Financing Trust Structure Bonds, which have a stable outlook. S&P has a stable outlook on all of the University's credits.
Does not include the University's Commercial Paper program, which carries the highest short-term ratings from both rating agencies.
*Only the UCSD Medical Center Bonds carry an underlying rating; UCLA Medical Center Bonds carry only insured ratings.

Financial Ratios. The credit rating agencies and capital markets tend to focus on a few key ratios in assessing an institution's financial strength. These ratios include *Total Resources to Debt*; *Expendable Resources to Debt*; and *Debt Service to Operations*. Each of these measures for the University is examined in detail below. An analysis of these ratios can be useful in assessing an institution's current financial position. This analysis can also be used to measure the impact of future additional debt issuance on the University's credit profile. A brief analysis of where the University stands relative to other institutions provides another reference point. Of course, these credit ratio indications do not prescribe a particular rating level, nor a particular level of debt capacity. Instead, a number of qualitative and quantitative factors play a role in determining both the rating and debt capacity of an institution.

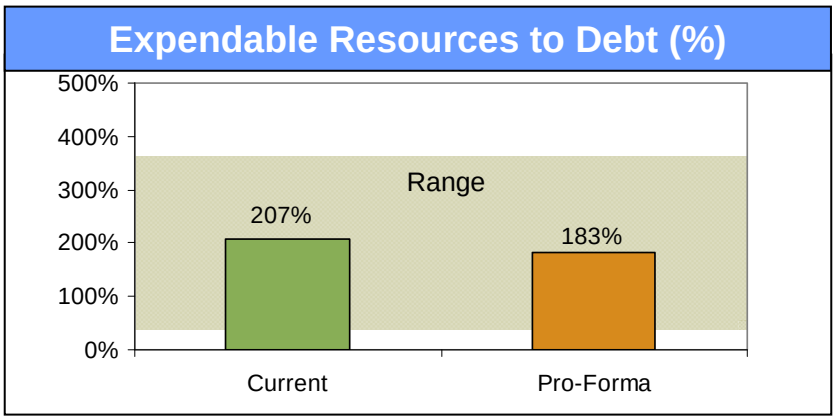
The graphs on the following page show the University's current financial position (based on Fiscal Year 2007 audited financials and debt outstanding as of May 2008) and pro-forma metrics, which represent numbers that incorporate the projected $950 million in additional debt, and compare those to ranges for large, public double-A rated higher education institutions.

The pro-forma financial ratios shown on the next page are based on Fiscal Year 2007 audited financial data and therefore do not account for future changes in the size of the University's financial resource base or operating budget. Therefore, to the extent the size of the University's financial resource base or its operating budget are likely to grow, the pro-forma ratios shown below would be stronger.

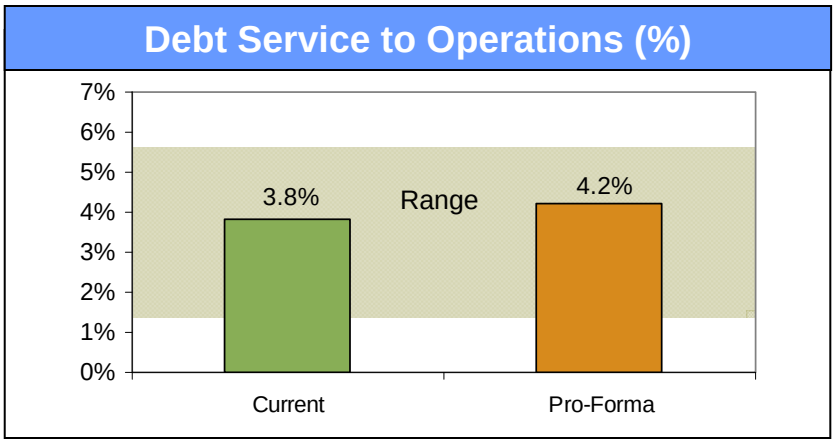
Total Resources to Debt is a broad measure of resources to debt that includes the corpus of endowed contributions. The higher the percentage, the greater the institution's financial strength.



Expendable Resources to Debt measures the resources available to investors from expendable resources. The higher the percentage, the greater the institution's financial strength.



Debt Service to Operations measures an institution's total debt burden on annual operating expenses. The lower the percentage, the greater the institution's financial strength.



Appendix A. Definitions of Financial Ratios

Total Resources to Debt (%) *A broad measure of resources to debt that includes the corpus of endowed contributions.* **(Desired Trend ↑)**	The sum of: Unrestricted net assets Plus restricted expendable net assets Plus restricted nonexpendable net assets Plus foundation total net assets Less foundation net investment in plant Divided by debt outstanding.
Expendable Resources to Debt (%) *Measures the resources available to investors from expendable resources.* **(Desired Trend ↑)**	The sum of: Unrestricted net assets Plus restricted expendable net assets Plus foundation unrestricted/temporarily restricted net assets Less foundation net investment in plant Divided by debt outstanding.
Debt Service to Budget (%) *Measures an institution's total debt burden on annual operating expenses.* **(Desired Trend ↓)**	Actual annual debt service Divided by total current fund expenses.

Source: Moody's Investors Service.

Appendix B: Investment Grade Rating Definitions

Moody's Rating	S&P Rating	Description
"Aaa"	"AAA"	Bonds rated in this category are judged to be the highest quality.
"Aa1"	"AA+"	Bonds in the Aa/AA rating category are judged to be of high quality and standards. Together with the AAA category are generally known as high grade bonds.
"Aa2"	"AA"	
"Aa3"	"AA-"	
"A1"	"A+"	Bonds rated in the A/A category are considered as upper medium grade obligations.
"A2"	"A"	
"A3"	"A-"	
"Baa1"	"BBB+"	Bonds rated in the Baa/BBB category are considered medium grade obligations. They are neither highly protected nor poorly secured.
"Baa2"	"BBB"	
"Baa3"	"BBB-"	

Source: Moody's Investors Service and Standard and Poor's.